MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION MARCH 2025

SECOND SEMESTER

Multi-Disciplinary Courses (MDC) - MG2MDCECO100 - UNDERSTANDING INDIAN ECONOMY

(2024 ADMISSION ONWARDS)

Part A

Multiple Choice Questions

Answer all questions

Each question carries 1 marks

1. c) GNP @ current prices

2. c) 13

3 a) Decrease spending

4. c) Profit

5. c) 2070

6. b) BSE

7. b) Imports become cheaper

8. b) SEBI

9. a) NABARD and RBI jointly

10. c) Primary market

11. b) To recommend the distribution of financial resources between the Centre and States

12. c) 1970

13. b) Government increases its borrowings to meet expenses

14. c) GST

15. a) Finance Bill

Part B

Short Answer Questions

Answer any 10 questions

Each question carries 2 marks

16. A cheap money policy refers to a monetary policy that lowers interest rates, encouraging borrowing and investment. It increases money supply in the economy, promoting growth, especially during recession.[Hint: Give 2 mark for the correct explanation of cheap monetary policy. Give 1 mark if anything related to cheap monetary policy is mentioned]

17. WPI (Wholesale Price Index) measures the average change in prices of goods at the wholesale level. It indicates inflation trends in the production and wholesale sectors. [Hint: Give 2 marks for explaining WPI and 1 mark if anything related to the WPI is mentioned.]

18. Stagflation is a situation where an economy faces stagnant growth, high unemployment, and rising inflation simultaneously. It challenges conventional economic policies.[Hint : 2 marks for the definition, 1 mark if anything related to stagflation is mentioned]

19.HDI includes three indicators: life expectancy (health), mean and expected years of schooling (education), and Gross National Income per capita (standard of living).[Hint: Give 2 marks for perfectly defining HDI and 3 indicators ,1 for explaining at least 2 indicators]

20. Legal tender money is currency that must be accepted for payment of debts by law. In India, coins and currency notes issued by the RBI are legal tender.[Hint :Give 1 mark for attempting the question as an accepted payment of debts by law, give 2 marks for mentioning about currency notes and coins issued by RBI]

21. Balance of Payments (BoP) is a systematic record of all economic transactions between residents of a country and the rest of the world during a specific period. It includes: Current Account , Capital Account, Financial Account [Hint: Give 3 marks for relevant definition]

22. India's key exports: petroleum products, gems and jewellery.Key imports: crude oil, gold.

[Hint: Give 2 marks for relevant definition and inclusion of two examples, give 1 mark for one example each]

23. Foreign exchange reserves help stabilize the currency, manage inflation, ensure payment for imports, and build confidence among foreign investors during economic uncertainties.[Give 2 marks for explain 4 points and 1 mark for explain 2 points]

24. To provide basic banking services, such as savings and credit, to underserved sections including small businesses, farmers, and low-income households, thereby promoting financial inclusion. .[Give 2 marks for explain 4 points and 1 mark for explain 2 points]

25. The consumer can escalate the complaint to the Banking Ombudsman, or file it on the RBI's Complaint Management System (CMS) for further resolution.[Hint :1 mark for any one response ,give 2 mark for mentioning 2 methods]

26. Fiscal policy refers to government decisions regarding taxation and public spending to influence economic growth, control inflation, and manage public debt. [Give 2 marks for relevant definition]

27. The Fiscal Responsibility and Budget Management (FRBM, 2003) Act aims to ensure fiscal discipline by setting targets to reduce fiscal deficit and improve macroeconomic stability. Objectives:

1. to introduce transparent fiscal management systems in the country.
2. to introduce a more equitable and manageable distribution of the country's debts over the years.
3. to aim for fiscal stability for India in the long run

[Hint ;Give 3 marks for the correct statement of the Act. and 1 mark if anything related to the Act is mentioned.]

28. GST, introduced on 1st July 2017, replaced multiple indirect taxes with a single tax structure. It aims to create a unified market, reduce tax cascading, and increase transparency.[2 marks] In 2014, the then Finance Minister, Mr Arun Jaitley, introduced the Constitution Amendment Bill in the parliament. In May 2015, the Constitution (122nd Amendment) Bill was passed in the Lok Sabha. The Integrated GST Bill, 2017, the Union Territory GST Bill, 2017, the Central GST Bill, 2017, and the GST (Compensation to States) Bill, 2017 were passed by the Lok Sabha and the Rajya Sabha by the 20th of April 2017. On the 1st of July, 2017, GST was officially rolled out. [Hint ; Give 3 marks if students are able to trace out the origin also]

29. Fiscal Deficit: Total expenditure exceeds total revenue (excluding borrowings).

Revenue Deficit: Revenue expenditure exceeds revenue receipts, indicating poor operational efficiency.

1. Revenue Deficit refers to the gap between government revenue expenditure and government revenue receipts, whereas Fiscal Deficit implies the gap between total expenditure and total non-debt receipts of the government.
2. Revenue Deficit takes place when the realized net income of the government is less than the estimated net income. As against, Fiscal Deficit arises when the spending of the government is more than its earning or beyond its financial inflow/resources.
3. Revenue Deficit shows the need for borrowing by the government to manage budgetary expenditure. Conversely, Fiscal Deficit shows the extent of borrowings by the government when an interest payment is accounted for.
4. Revenue Deficit signifies that spending of the government is beyond its limit, to carry out day-to-day operations. It indicates dissavings of the government and intertemporally, a shift to present consumption. In contrast, a Fiscal Deficit denotes additional requirements of financial resources to meet government expenditure.
5. Revenue Deficit signals insufficiency of funds in the hands of the government to finance the operations of government departments or agencies. Contrastingly, Fiscal Deficit signals an increase in future liabilities of the government on interest payment and loan repayment. The government has to repay the borrowed sum in the future. As a result of which the government has to raise the funds from people or increase the rate of taxes in the future to pay the interest and principal loan amount, which ultimately

gives rise to inflation.[Hint: Give 1 mark if students are able to define both and answer one difference of the two give 2 marks if 2or more differences along with definition is correctly given]

Part C

Short Essay Questions

Answer any 3 questions

Each question carries 5 marks

30. Poverty in India as per records has significantly declined over the past few years, especially post-economic reforms. However, millions still to date live below the poverty line. Rural poverty remains higher than urban rates. Government schemes like MGNREGA and food subsidies have helped a lot , but challenges like unemployment, inflation, and regional disparities continue to affect poverty reduction efforts.[Give 3 marks for explaining 3 points and give full marks for relevant information and covering all points]

31. Climate change refers to long-term alterations in global temperatures and weather patterns, largely caused by human activities. Major causes include greenhouse gas emissions from burning fossil fuels, deforestation, industrial emissions, agriculture, and transportation. These factors trap heat in the atmosphere, leading to rising temperatures, melting glaciers, and extreme weather events. .[Give 3 marks for explaining 3 points and give full marks for relevant information and covering all points]

32. The four pillars of COP28 are: (1) Fast-tracking energy transition by cutting fossil fuel use, (2) Fixing climate finance to help developing nations, (3) Focusing on people, lives, and livelihoods, especially vulnerable communities, and (4) Ensuring full inclusivity by involving all stakeholders, including youth, women, and indigenous groups in climate action. .[Give 3 marks for explaining 3 points and give full marks for relevant information and covering all points]

33. Challenges for UPI include digital illiteracy, internet access in rural areas, cyber security concerns, and server downtime. Despite this, UPI has great prospects due to high smartphone penetration, government support, and its growing use for micro and macro transactions. Global expansion and integration with international systems also enhance its potential. .[Give 3 marks for explaining 3 points and give full marks for relevant information and covering all points]

34. India’s Balance of Payments shows a consistent trade deficit due to heavy imports like crude oil, electronics, and gold. However, this is partially offset by a strong services surplus from software exports and IT services. Remittances from overseas Indians also contribute positively, helping stabilize the BoP and manage currency volatility. .[Give 3 marks for explaining 3 points and give full marks for relevant information and covering all points]

35. Kerala’s economy is service-driven, with high literacy, excellent health indicators, and strong human development. It heavily depends on remittances from the Gulf. Agriculture and tourism are vital sectors. Challenges include low industrialization, educated unemployment, and fiscal imbalances. Social development is high, but economic diversification remains a long-term need. .[Give 3 marks for explaining 3 points and give full marks for relevant information and covering all points]

36. Public expenditure in India is driven by infrastructure development, defense, welfare schemes, education, health, and subsidies. It stimulates economic growth, reduces poverty, and builds human capital. However, excessive spending without adequate revenue leads to deficits. Efficient allocation and control are essential for achieving developmental goals and macroeconomic stability. .[Give 3 marks for explaining 3 points and give full marks for relevant information and covering all points]